

Bonds — Lending Money for Steady Interest

BEGINNER

PRACTICE WORKSHEET

Grab a pen and pick one real bond or bond fund you're curious about. Research it using the 4-point checklist from the lesson, and write down what you find — there's no wrong answer, the goal is just practice.

■ Section 1 — Pick a Bond or Bond Fund

Which bond or bond fund are you researching, and who's the borrower (government or company)?

What's its maturity date, or (for a fund) its average maturity?

■ Section 2 — The 4-Point Checklist

What's its coupon rate or current yield?

What's its credit rating, if it has one? What does that tell you about risk?

If it's a fund, roughly how many individual bonds does it hold?

Tip: try the interactive “Bond Income Calculator” on the Bonds lesson page at growthcapitalgroup.com to see what a bond like this would actually pay you over its lifetime.

■ Section 3 — Reflection

How would this bond or bond fund behave if interest rates rose sharply next year? Why?